ACCOUNTING

HIGHER & ORDINARY LEVEL

MARKING SCHEME

Pre-Leaving Certificate Examination 2024

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HIGHER LEVEL

1(A). FINAL ACCOUNTS - SOLE TRADER

* Deduct one mark for each heading omitted from P & L A/C.
** No marks lost for order of P & L A/C, i.e. Income before or after Expenses

(a) Trading, Profit and Loss A/C of James Barry for the year ended 31/12/2023 [1] 70 MARKS

	Working	€		€	€	
Sales	1		[3]		474,700	
- **Cost of Sales**						
Opening Stock			[2]	16,450		
+ Purchases	2		[7]	266,330		
				282,780		
- Closing Stock	3		[4]	(36,220)		
Cost of Sales					(246,560)	
Gross Profit					228,140	
** **Other Income**						
Profit on disposal of delivery van	10	3,500	[3]			
Investment Interest	4	400	[3]			
Rent received		5,200	[2]		9,100	
Total Income					237,240	
* **Administration Expenses**						
Salaries & general expenses		44,610	[3]			
Insurance		12,900	[3]			
Increase in bad debt provision	22	18	[3]			
Depreciation on buildings	5	16,000	[4]			
Depreciation on office equipment	6	3,150	[4]			
Loss on damaged stock	7	200	[4]			
Bank charges		95	[3]			
Patent written-off	8	6,000	[4]	82,973		
* **Selling & Distribution Expenses**						
Depreciation on delivery vans	9	21,000	[4]			
Discount allowed	23	420	[3]			
Commission		3,650	[3]	25,070		
Financial Expenses						
*** Mortgage interest	11	11,200	[4]	11,200		
Total Expenses					(119,243)	
Net Profit			correct figure only		**117,997**	[3]

*** Mortgage interest can also be shown as Administration expense

(b) Balance Sheet of James Barry as at 31/12/2023 **50 MARKS**

	Working	€		€	€		€
Intangible Assets							
Patent	**8**						24,000 **[3]**
Tangible Fixed Assets		**Cost**		**Acc Dep**	**NBV**		
Buildings	**12**	800,000		16,000	784,000	**[3]**	
Delivery vans	**13**	172,000		105,500	66,500	**[7]**	
Office equipment	**14**	21,		2,150	8,850	**[5]**	
		993,000		133,650	859,350		859,350
Financial Assets							
1% Investments							120,000 **[2]**
							1,003,350
Current Assets							
Debtors	**15**	34,200	**[3]**				
- Provision for bad debts	**22**	(1,368)	**[1]**		32,832		
Stock	**3**				36,220 accept own figure **[1]**		
Investment interest due	**4**				100	**[2]**	
Insurance compensation due	**7**				2,000	**[2]**	
VAT	**16**				12,050	**[2]**	
					83,202		
Less Creditors: (amounts falling due within 1 year)							
Creditors	**17**			32,075		**[4]**	
Bank overdraft	**20**			22,990		**[2]**	
PAYE, PRSI, USC				8,250		**[2]**	
Mortgage interest due	**11**			8,000	(71,315)	**[2]**	
Working Capital							11,887
Total Net Assets							1,015,237
FINANCED BY:							
Creditors: (amounts falling due after 1 year)							
8% Fixed mortgage							160,000 **[2]**
Capital 01/01					493,150	**[2]**	
Revaluation reserve	**18**				276,200	**[2]**	
add Net Profit					117,997 accept own figure **[1]**		
					887,347		
less Drawings	**19**				(32,110)	**[2]**	
							855,237
Capital Employed							1,015,237

QUESTION 1 - WORKINGS

Breakdown of individual marking scheme:
Penalise 1 mark for the omission of two headings in the Profit & Loss Account and Revaluation Reserve after Net Profit in Balance Sheet.

					€
1.	Sales	478,300 – 3,600	2+1	**3**	474,700
2.	Purchases	290,450 + 3,840 – 2,200 – 20,000 – 5,760	2+2+1+1+1	**7**	266,330
3.	Closing stock	29,500 +2,880 + 3,840	2+1+1	**4**	36,220
4.	Investment interest	120,000 x 1% x 4/12	3	**3**	400
	Investment interest due	400 – 300	1 + 1	**2**	100
5.	Depreciation on buildings	[600,000 – 16,200 + 216,200] x 2%	1+1+2	**4**	16,000
6.	Depreciation on office equipment	21,000 15%	4	**4**	3,150
7.	Loss on damaged stock	2,200 – 2,000	2 + 2	**4**	200
	Insurance due	2,000		**2**	2,000
8.	Patent write-off	[29,700 + 300] / 5	1+1+2	**4**	6,000
	Patents	29,700 + 300 – 6,000	1+1+1	**3**	24,000
9.	Depreciation on vans	[160,000 x 12.5% x 4/12] + [172,000 x 12.5% x 8/12]	2 + 2	**4**	21,000
10.	Profit on disposal of van	24,000 – 11,500 – 16,000	1 + 1 + 1	**3**	3,500
11.	Mortgage interest	[120,000x8%] + [40,000x8%x6/12] ie 2,650 + 550* + 8,000	2 + 2	**4**	11,200
	Mortgage interest due	11,200 – 3,200	1 + 1	**2**	8,000
12.	Buildings	600,000 – 16,200 + 216,200	1+1+1	**3**	800,000
13.	Delivery vans	160,000 + 20,000 + 16,000 – 24,000	1+1+1+1	**4**	172,000
	Accum deprec. on delivery vans	96,000 + 21,000 – 11,500	1+1+1	**3**	105,500
14.	Accum deprec. on office equip.	9,000 + 3,150	1+1+1	**3**	12,150
15.	Debtors	38,600 – 3,600 – 750 – 50	1 + 1 +1/2 + 1/2	**3**	34,200
16.	VAT	4,150 – 16,200	1 + 1 2		12,050 dr
17.	Creditors	28,450 + 3,840 – 215*	1 + 1 + 1	**3**	32,075
18.	Revaluation reserve	216,200 + 60,000	1 + 1	**2**	276,200
19.	Drawings	26,350 + 5,760	1 + 1	**2**	32,110
20.	Bank	–23,645 + 750 – 95	1 + 1 + 1	**3**	22,990
21.	Suspense*	765 – 550* – 215*			0
22.	Increase in Bad Debt provision	[34,200 x 4%] = 1,368 – 1,350	2 + 1	**3**	18
23.	Discount allowed	370 + 50	1 + 2	**3**	420

WORKINGS - SOLE TRADER

Workings in T account format

1. Closing Stock:

Initial value 31/12		29,500	
add 'Sale or Return'	**(i)**	2,880	[3,600 x 100/125]
add Goods 'in Transit'	**(ii)**	3,840	[4,800 x 80%]
		36,220	

Sales A/C

Drs	3,600	B/D	478,300
C/D	474,700		
	478,300		478,300
		B/D	474,700

Debtors A/C

B/D	38,600	Sales	3,600
		C/D	35,000
	38,600		38,600
B/D	35,000	note 9	

2. Goods-in-Transit

Purchases A/C

B/D	290,450		
Transit	3,840	C/D	294,290
	294,290		294,290
B/D	294,290	> note 4	

Creditors A/C

		B/D	28,450	
C/D	32,290	Transit	3,840	
	32,290		32,290	
		B/D	32,290	note 10

3. Patents

Patents A/C

B/D	29,700	P & L	6,000	[30,000 W/O over 5 years]
Inv. Income Error	300	C/D	24,000	
	30,000		30,000	
B/D	24,000			

Investment Income A/C

		Patents Error	300	[120,000 x 1% x 3/12]
		> note 11		

4. Damaged Stock

Purchases A/C

B/D (note 2)	294,290	Damaged Stock	2,200
		C/D	292,090
	294,290		294,290
B/D	292,090		

Damaged Stock A/C

Purchases	2,200	Insurance due	2,000
		Loss P/L	200
	2,200		2,200

Insurance Compensation due A/C

Damaged Stock	2,000		

5. Warehouse

Buildings A/C

B/D	600,000	01/01 Vat Error	16,200
		C/D	583,800
	600,000		600,000
B/D	583,800	note 6	

VAT A/C

		B/D	4,150
Buildings	16,200	C/D	12,050
	16,200		16,200
B/D	12,050		

6.

Buildings A/C

B/D (note 5)	583,800		
01/01 Reval. Res	216,200	C/D	800,000
	800,000		800,000
B/D	800,000		

Provision for Depreciation A/C

01/01 Reval. Res	60,000	B/D	60,000
Bal C/D	16,000	P & L 800,000 x 2%	16,000
	76,000		76,000
		B/D	16,000

Revaluation Reserve A/C

		01/01 Bldgs	216,200
C/D	276,200	01/01 Depreciation	60,000
	276,200		276,200
		B/D	276,200

7. Dep on Vans @ 12.5%.

Delivery Van A/C

	B/D	160,000	Disposal	24,000
****	Bank	20,000		
	Trade In	16,000	C/D	172,000
		196,000		196,000
	B/D	172,000		

Provision for Depreciation A/C

Disposal	11,500	B/D	96,000
C/D	105,500	P & L	* 21,000
	117,000		117,000
		B/D	105,500

Disposal A/C

Van	24,000	Deprec.	*** 11,500
Profit to P/L	3,500	Trade In	16,000
	27,500		27,500

***

24,000 x 12.5% = 3,000

Yr	months	dep
2019	6	1,500
2020	12	3,000
2021	12	3,000
2022	12	3,000
2023	4	1,000
		11,500

*

P & L Charge for 2023 *

24,000 x 12.5% x 4/12 =	1,000
36,000 x 12.5% x 8/12 =	3,000
136,000 x 12.5% =	17,000
	21,000

Purchases A/C

B/D (note 4)	292,090	Van error	20,000 ****
		C/D	272,090
	292,090		292,090
B/D	272,090	note 8	

8. **Drawings:** 7,200 x 100/125 = 5,760

Purchases A/C

B/D (note 7)	272,090	Drawings	5,760
		C/D	266,330
	272,090		272,090
B/D	266,330		

Drawings A/C

B/D	26,350		
Purchases	5,760	C/D	32,110
	32,110		32,110
B/D	32,110		

9.

Bank A/C

Debtor	750	B/D	23,645
C/D	22,990	Bk Charges	95
	23,740		23,740
		B/D	22,990

Bank Reconciliation

	€	€
Balance per Bank statement		-22,410
less: Cheque not presented		-580
Balance per Bank account		-22,990

Debtors A/C

B/D (note 1)	35,000	Bank	750
		Discount	50
		C/D	34,200
	35,000		35,000
B/D	34,200		

Discount A/C

B/D	370		
Debtors	50	C/D	420
	420		420
B/D	420		

10.

Suspense A/C

B/D	765	Mortgage Interest	550
		Creditors (Discount)	215
	765		765

Discount A/C

		OK	215

Mortgage Interest A/C

B/D	2,650		
Suspense (Mortg Int)	550	C/D **	3,200
	3,200		3,200
B/D	3,200		

Creditors A/C

Suspense (Disc)	215	B/D	32,290 note 2
C/D	32,075		
	32,290		32,290
		B/D	32,075

*** Mortgage Interest for first four months: 120,000 x 8% x 4/12 = 3,200*

11. **1**

Mortgage Interest A/C

B/D (note 10)	3,200	P & L **	11,200
C/D	8,000		
	11,200		11,200
		B/D	8,000

**	120,000 x 8% =	9,600
	40,000 x 8% x 6/12 =	1,600
		11,200

Investment Interest A/C

*	P & L	400	B/D	300 note 3
*	[120,000 x 1% x 4/12]		C/D	100
		400		400
	B/D	100		

2 **Debtors** 31/12/2023 34,200

New Provision = 34,200 x 4%	1,368
Old Provision =	1,350
Profit & Loss expense	18

3 **Depreciation:**

Office Equipment 21,000 x 15% = 3,150

1(B). COMPANY FINAL ACCOUNTS INCLUDING A MANUFACTURING ACCOUNT

* Deduct one mark for each heading omitted from P & L A/C.
** No marks lost for order of P & L A/C, i.e. Income before or after Expenses

(a) Manufacturing Account of Dillon Manufacturing Ltd for the year ended 31/12/2023 — 30 MARKS

		€	€	€
Raw Materials				
Opening stock	**[2]**	53,500		
Purchases (w.2)	**[3]**	351,500		
		405,000		
less Closing stock	**[2]**	(33,500)		
Cost of raw materials			371,500	
Factory Wages (w.9)	**[3]**		103,500	
Prime Cost				475,000
Factory Overheads				
General factory overheads (w.8)	**[4]**		62,850	
Loss on disposal of machine (w.12)	**[3]**		3,500	
Loss on disposal of machine (w.12)	**[3]**		7,500	
Depreciation - Plant and machinery (w.12)	**[2]**		47,500	
- Buildings (w.14)	**[1]**		13,937	135,287
Factory Cost				610,287
Add: Work in progress 01/01/2023	**[2]**			34,600
Less: Work in progress 31/12/2023	**[2]**			(19,270)
				625,617
Less: Sale of scrap materals (w.13)	**[2]**			(10,000)
Cost of manufacture		*correct figure only	**[1]**	615,617

Trading, Profit and Loss Account for the year ended 31/12/2023					**40 MARKS**
		€	€		€
Sales (w.5)				**[3]**	995,000
Less Cost of Sales					
Opening stock of finished goods			28,500	**[1]**	
Cost of manufacture	*accept student's own figure		615,617	**[1]**	
			644,117		
less Closing stock of finished goods (w.1)			(62,200)	**[4]**	
Cost of Sales					(581,917)
Gross Profit					413,083
Other Operating Income					–
					413,083
Administration Expenses					
Administration expenses	**[2]**	47,250			
Depreciation on buildings (w.14)	**[1]**	5,973			
Goodwill written off (w.3)	**[2]**	5,000			
Loss on damaged stock (w.6)	**[2]**	500			
Bank charges	**[2]**	99	58,822		
Selling and Distribution Costs					
Sales commission	**[2]**	9,800			
Bad debt (w.10)	**[2]**	910			
Provision for bad debt (w.18)	**[2]**	1,296			
Discount allowed	**[1]**	2,250			
Rent of shop floor space	**[2]**	12,000			
Selling expenses	**[2]**	46,250	72,506		(131,328)
Operating Profit					281,755
Investment income				**[2]**	500
Interest payable (w.16)				**[2]**	(12,000)
Profit before Tax					270,255
Corporation tax				**[2]**	(54,500)
Profit after Tax					215,755
less Dividends paid				**[2]**	(45,000)
Retained Profit					170,755
Profit and loss balance 01/01/2023				**[2]**	67,500
Profit and loss balance 31/12/2023	*correct figure only			**[1]**	**238,255**

(b) **Balance Sheet of Dillon Manufacturing Ltd as at 31/12/2023** **50 MARKS**

		€	€		€
Intangible Assets					
Goodwill (w.3)				**[2]**	25,000
Tangible Fixed Assets		**Cost**	**Acc. Dep**		**Net Book Value**
Factory buildings (w.11 & w.14)		995,500 [2]	(44,910) **[2]**		950,590
Plant and machinery (w.12)		475,000 [2]	(87,000) **[2]**		388,000
		1,470,500	(131,910)		1,338,590
Financial Assets					
1% Investments				**[2]**	200,000
					1,563,590
Current Assets					
Stock: Raw material	**[2]**	33,500			
Work in progress	**[2]**	19,270			
Finished goods (w.1)	**[2]**	62,200 accept own figure			
Debtors (w.4)	**[2]**	41,904			
Bank (w.10)	**[3]**	12,791			
Insurance compensation due (w.6)	**[2]**	5,500			
Investment income due (w.15)	**[2]**	500	175,665		
Less Creditors: amounts falling due within one year		**[1]**			
Creditors (w.7)	**[2]**	54,650			
Interest payable due (w.16)	**[2]**	5,050			
Wages due (w.8)	**[2]**	2,500			
Sales commission due (w.8)	**[2]**	9,800			
PAYE, PRSI, USC	**[2]**	18,200			
VAT	**[2]**	6,300			
Corporation tax due	**[2]**	54,500	(151,000)		
Net Current Assets					24,665
TOTAL NET ASSETS					1,588,255
FINANCED BY:					
Creditors: amounts falling due after more than one year [1]					
8% Debenture				**[2]**	300,000
Capital and Reserves		**Authorised**	**Issued**		
Ordinary shares @ €1 each		1,000,000 **[1]**	800,000	**[1]**	
3% Preference shares @ €1 each		500,000 **[1]**	250,000	**[1]**	
		1,500,000	1,050,000		
Profit and loss balance 31/12/2023	**[1]**	238,255 * accept own figure			
			238,255		1,288,255
CAPITAL EMPLOYED					1,588,255

WORKINGS

Breakdown of individual marking scheme:
Penalise 1 mark each for the omission of two headings (Admin. and Selling & Dist.) in the Profit & Loss Account. [Total Penalty max 2 marks]

1	Closing Stock				
	Finished goods	38,200 + 24,000	4 Trad; 2 BS	**4+2**	62,200
2	Purchases	379,000 – 6,000 – 21,500	1+1+1	**3**	351,500
3	Goodwill amortized (P&L A/C)	50,000 /10	1+1	**2**	5,000
	Goodwill (B. Sheet)	30,000 – 5,000	1+1	**2**	25,000
4	Debtors	73,200 – 30,000 + 910 – 910 – '1,296'	0 + 1/2 + 1/2 + 1/2 + 1/2	**2**	41,904
5	Sales	1,025,000 – 30,000	1+2	**3**	995,000
6	Loss on damaged stock	6,000 – 5,500	1+1	**2**	500
	Insurance compensation due			**2**	5,500
7	Creditors	38,300 + 16,500 – 150	0+1+1	**2**	54,650
8	General Factory overhead	46,500 – 150 + 16,500	1+1+2	**4**	62,850
9	Direct Factory Wages	125,000 + 2,500 – 24,000	1+1+1	**3**	103,500
	Wages due	2,500	2	**2**	2,500
	Sales Commission (due)	995,000 – 750,000 = 245,000			
		ie. 245,000 x 4%	2 P&L; 2 BS	**2+2**	9,800
10	Bank	(14,700) + 28,500 – 99 – 910	0+1+1+1	**3**	12,791
	Bad debt			**2**	910
11	Factory buildings	950,000 + 24,000 + 21,500	0+1+1	**2**	995,500
12	Plant and machinery	540,000 – 25,000 – 40,000	0+1+1	**2**	475,000
	Provision for depreciation	60,000 – 12,500 – 8,000 + 47,500	0 + 1/2 + 1/2 + 1/2	**2**	87,000
	Depreciation on P & M	475,000 x 10%		**2**	47,500
	Loss on disposal (1)	25,000 – 12,500 – 5,000	1+1+1	**3**	7,500
	Loss on disposal (2)	40,000 – 8,000 – 28,500	1+1+1	**3**	3,500
13	Sale of Scrap	15,000 – 5,000	1+1	**2**	10,000
14	Factory buildings - Depreciation				
	Provision for depreciation	25,000 + 19,910	1+1	**2**	44,910
	Depreciation to Manuf/P & L	995,500 x 2% = 19,910	2		
			Factory (70%)	**1**	**13,937**
			Offices (30%)	**1**	**5,973**
15	Investment income	200,000 x 1% x 3/12	1+1	**2**	500
	Investment income due			**2**	500
16	Interest payable	[100,000 x 8%] + [200,000 x 8% x 3/12]	1+1	**2**	12,000
	Interest payable due	12,000 – 6,950	1+1	**2**	5,050
17	Provision for bad debts	43,200 x 3%		**2**	1,296

Workings - Manufacturing Firm
Workings in T account format

1 & 2	**Stocks:**	Finished goods	31/12	38,200
			Sale or return	24,000
				62,200

Debtors A/C

B/D	73,200	Sale or return	30,000	* 24,000 x 125/100
		C/D	43,200	
	73,200		73,200	
B/D	43,200	note 12		

Sales A/C

Sale or return	30,000	B/D	1,025,000
C/D	995,000		
	1,025,000		1,025,000
		B/D	995,000

3 **Plant and machinery A/C**

B/D	540,000	Disposal	25,000
		C/D	515,000
	540,000		540,000
B/D	515,000	note 7	

Provision for depreciation A/C

Disposal *	12,500	B/D	60,000	
C/D	47,500			
	60,000		60,000	
		B/D	47,500	note 7

Disposal A/C

Machine	25,000	Depreciation *	12,500
		Bank (error scrap)	5,000
		Loss to P&L	7,500
	25,000		25,000

* 25,000 x 10% x 5 years (2018, 2019, 2020, 2021, 2022) = 12,500

Sale of scrap A/C

Disposal error	5,000	B/D	15,000
C/D	10,000		
	15,000		15,000
		B/D	10,000

4 **General factory overhead A/C (incl suspense)**

B/D	46,500	Crs - discount	150
Creditors	16,500	C/D	62,850
	63,000		63,000
B/D	62,850		

Creditors A/C

Suspense (discount)	150	B/D	38,300
C/D	54,650	Purchases	16,500
	54,800		54,800
		B/D	54,650

5

Damaged stock A/C

Purchases	6,000	Insurance comp.	5,500
		Loss to P&L	500
	6,000		6,000

Purchases A/C

B/D	379,000	Damaged stock	6,000
		C/D	373,000
	379,000		379,000
B/D	373,000	note 8	

Insurance compensation due A/C

Damaged stock	5,500		

6 **Wages**

Wages A/C

B/D	125,000		
Wages due	2,500	C/D	127,500
	127,500		127,500
B/D (note 8)	127,500		

Wages due A/C

		Wages **	2,500

** 125,000 x 6% x 4/12 = 2,500

7 **Disposal of Machinery**

Plant and machinery A/C

B/D note 3	515,000	Disposal	40,000
		C/D	475,000
	515,000		515,000
B/D	475,000	note 10	

Provision for depreciation A/C

Disposal **	8,000	B/D	47,500 note 3
C/D	39,500		
	47,500		47,500
		B/D	39,500 note 10

Disposal of machinery A/C

Machinery	40,000	Depreciation **	8,000
		Bank	28,500
		Loss to P & L	3,500
	40,000		40,000

Bank A/C

Machinery sale	28,500	B/D	14,700
		C/D	13,800
	28,500		28,500
B/D	13,800	note 9	

** 40,000 x 10% x 2 years (2021 & 2022) = 8,000

8 Extension

Factory buildings A/C

B/D	950,000		
Factory wages	24,000		
Purchases	21,500	C/D	995,500
	995,500		995,500
B/D (note 10)	995,500		

Factory wages A/C

B/D (note 6)	127,500	Extension	24,000
		C/D	103,500
	127,500		127,500
B/D	103,500		

Purchases A/C

B/D (note 6)	373,000	Extension	21,500
		C/D	351,500
	373,000		373,000
B/D	351,500		

9 Bank Account

Bank A/C

B/D note 7	13,800	Bank charges	99
		Drs - dishon. chq	910
		C/D	12,791
	13,800		13,800
B/D	12,791		

Bank Reconciliation

	€
Balance per Bank statement	-11,709
add: cheque received not yet lodged	28,500
less: cheque not yet presented	-4,000
Balance per Bank account	12,791

Bank charges A/C

Bank	99		

Debtors A/C

B/D (note 2)	43,200	Bad debt	910
Bank D/H Chq	910	C/D	43,200
	44,110		44,110
B/D	43,200		

Bad debt A/C

Debtors	910		

10 Depreciation:

Plant and machinery A/C

B/D note 7	475,000		

Provision for depreciation A/C

		B/D	39,500 note 7
C/D	87,000	P & L	47,500
	87,000		87,000
		B/D	87,000

Buildings A/C

B/D note 8	995,500		

Provision for depreciation A/C

		B/D	25,000 note 8
C/D	44,910	P & L **	19,910
	44,910		44,910
		B/D	44,910

** 995,500 x 2% = 19,910

19,910 x 70% =	13,937
19,910 x 30% =	5,973

11 Goodwill

Goodwill A/C

B/D	30,000	Amortization P/L	5,000
		C/D	25,000
	30,000		30,000
B/D	25,000		

12 Investment Income, Debenture Interest, Taxation & Sales Commission

Investment income A/C

P & L **	500		

** 200,000 x 1% x 3/12 = 500

Interest payable A/C

B/D	6,950	P & L ***	12,000
C/D	5,050		
	12,000		12,000
		B/D	5,050

*** 100,000 x 8% = 8,000
200,000 x 8% x 3/12 = 4,000 Total 12,000

Corporation tax A/C

		P & L	54,500

Provision for bad debts

		P & L *	1,296

* 43,200 (note 9) x 3% = 1,296

Debtors @31/12/2023:	43,200 note 2
less provision	-1,296
	41,904

Sales commission A/C

		P & L *	9,800

* (995,000 - 750,000) = 245,000 x 4% = 9,800

2. DEPRECIATION OF FIXED ASSETS

(a) **8 MARKS**

Truck A/C

01/01/2022	Balance b/d **[2]**	283,000	30/09/2022	Disposal **[1]**	95,000
01/10/2022	Trade In **[1]**	40,000			
01/10/2022	Bank **[1]**	58,000	31/12/2022	Balance c/d	286,000
		381,000			381,000
01/01/2023	Balance b/d	286,000	30/06/2023	Disposal **[1]**	92,000
30/06/2023	Trade In **[1]**	40,000			
30/06/2023	Bank **[1]**	60,000	31/12/2023	Balance c/d	294,000
		386,000			386,000
01/01/2024	Balance b/d	294,000			

(b) **28 MARKS**

Provision for Depreciation A/C

01/10/2022	Disposal **[3]** *	69,375	01/01/2022	Balance b/d **[8]**	130,305
31/12/2022	Balance c/d	112,530	31/12/2022	P & L **[6]**	51,600
		181,905			181,905
30/06/2023	Disposal **[3]** *	71,760	01/01/2023	Balance b/d	112,530
31/12/2023	Balance c/d **[3]** **	92,970	31/12/2023	P & L **[5]**	52,200
		164,730			164,730
			01/01/2024	Balance b/d	92,970

* Accept correct figure only
** Allow 2 marks for student's own figure

(c) **14 MARKS**

Disposal A/C

01/10/2022	Truck 1 **[1]**	95,000	01/10/2022	Deprec. **[2]**	69,375 ***
31/12/2022	Profit to P/L **[2]** ***	14,375	01/10/2022	Trade In **[2]**	40,000
		109,375			109,375
30/06/2023	Truck 2 **[1]**	92,000	30/06/2023	Deprec. **[2]**	71,760 ***
31/12/2023	Profit to P/L **[2]** ***	19,760	30/06/2023	Trade In **[2]**	40,000
		111,760			111,760

*** Allow student's own figure

WORKINGS
Schedule of Fixed Assets

Asset	Time(yrs)	Cost	***** Dep pa	Dep to Date	Dep'22	Dep'23	Total
Truck 1	3 5/12	85,000	15,300	52,275 **[2]**	11,475 **[1]**	NA	69,375
+ Refrig.	1 6/12	10,000	2,500	3,750 **[2]**	1,875 **[1]**	NA	
Truck 2	2 10/12	92,000	16,560	46,920 **[2]**	16,560 **[1]**	8,280 **[1]**	71,760
Truck 3	1 7/12	96,000	17,280	27,360 **[2]**	17,280 **[1]**	17,280 **[1]**	
		283,000					
Truck 4	01/10/2022	98,000	17,640	NA **[2]**	4,410	17,640 **[1]**	
Truck 5	30/06/2023	100,000	18,000	NA		9,000 **[2]**	
				130,305	**51,600**	**52,200**	

*****85,000 x 90% = 76,500 / 5 years = 15,300 p.a.
92,000 x 90% = 82,800 / 5 years = 16,560 p.a. etc.

(d) Profit & Loss Account for year ended 31/12/2023 (extract) **6 MARKS**

		€	€
Other Income			
Profit on disposal of truck	**[2]**	19,760	*****
Expenses			
Depreciation on trucks	**[2]**	52,200	*****
Repairs	**[2]**	6,000	*****

*****Accept student's own figure if consistent with previous work.

(e) What factors determine the annual charge for depreciation? **4 MARKS**

[any 2 x 2 marks each]

1. The original cost price of the asset;
2. The estimated useful life of the asset;
3. The estimated scrap or residual value of the asset;
4. The selection of an appropriate method of depreciation, i.e. Straight Line or Reducing Balance method(s).

3. DEPARTMENTAL FINAL ACCOUNTS

(a) Departmental Trading and Profit and Loss Account for the year ended 31/12/2023 — 48 MARKS

	€ Total	€ Indoor	€ Outdoor	€ Total	€ Indoor	€ Outdoor
Sales				420,000 **[1]**	231,000 **[1]**	189,000 **[1]**
Returns inwards				(1,100) **[1]**		(1,100) **[1]**
				418,900	231,000	187,900
less **Cost of goods sold**						
Stock 01/01/2023	30,100 **[1]**	17,500 **[1]**	12,600 **[1]**			
Purchases	320,000 **[1]**	175,000 **[1]**	145,000 **[1]**			
Returns out	(750) **[1]**	(750) **[1]**				
Carriage inwards	1,500 **[1]**	1,500 **[1]**				
Customs duty	2,250 **[1]**		2,250 **[1]**			
	353,100	193,250	159,850			
less Stock 31/12/2023 (W1)	(43,700) **[1]**	(25,200) **[2]**	(18,500)**[1]**	(309,400)	(168,050)	(141,350)
Gross Profit				109,500	62,950	46,550
less **Expenses**						
Salaries and general expenses	66,500 **[1]**	36,575 **[1]**	29,925 **[1]**			
Cleaning	4,650 **[1]**	1,550 **[1]**	3,100 **[1]**			
Light and heat (W2)	7,710 **[1]**	2,570 **[1]**	5,140 **[1]**			
Advertising (W4)	2,800 **[1]**	1,540 **[1]**	1,260 **[1]**			
Insurance (W5)	4,800 **[1]**	1,600 **[1]**	3,200 **[1]**			
Mortgage interest (W3)	6,000 **[1]**	2,000 **[1]**	4,000 **[1]**			
Bad debt	1,500 **[1]**		1,500 **[1]**			
Depreciation delivery vans (W6)	7,000 **[1]**	3,850 **[1]**	3,150 **[1]**			
Depreciation buildings (W6)	6,000 **[1]**	2,000 **[1]**	4,000 **[1]**	(106,960)	(51,685)	(55,275)
Net Profit				2,540 **[1]**	11,265	(8,725)

(b) What factors should the owners of a business consider before deciding to actually close down an unprofitable department? (any 3 points at 4 marks each) — **12 MARKS**

> The effects on morale of all employees, could it lead to industrial relations problems;

> Will it mean redeployment to other departments of the staff concerned?;

> Will the decision lead to redundancies?;

> What will happen to the space allocated for the loss-making department – will rent still have to be paid?;

> Eventhough it is seen as loss-making could that department still be making a significant contribution to the overall profit of the business.

WORKINGS

1	Indoor – Closing Stock:	Bal 31/12	26,400	
		less damaged	(3,000)	
		Realisable value	1,800	
		31/12/2023	25,200	
2	Light and heat:	Bank	8,460	
		less stock 31/12	(750)	
			7,710	
3	Mortgage interest	Bank	2,000	
		add due 31/12	4,000	
			6,000	100,000 x 6%
4	Advertising	Bank	5,600	
		less prepaid 31/12	2,800	5,600 x 6/12
			2,800	
5	Insurance	Bank	7,200	
		less prepaid 31/12	(2,400)	7,200 x 4/12
			4,800	
6	Depreciation:			
	Buildings	300,000 x 2%	6,000	
	Delivery vans	56,000 x 12.5%	7,000	

Note: Break-up of expenses

Floor space:	Indoor = 300/900 = 1/3
	Outdoor = 600/900 = 2/3
Sales:	Indoor = 231,000/420,000 = 0.55
	Outdoor = 189,000/420,000 = 0.45

4. FARM ACCOUNTS

(a) Mike Maguire Statement of Capital at 01/01/2023 **20 MARKS**

		€	€
Assets			
Land and farm buildings		500,000 **[1]**	
Accumulated depreciation		(12,000) **[1]**	
Tractors and farm machinery		165,000 **[1]**	
Accumulated depreciation		(41,250) **[1]**	
Cattle		19,500 **[1]**	
Sheep		17,600 **[1]**	
Milk cheque due		1,350 **[1]**	
Stock of fuel		650 **[1]**	
Stock of fertiliser		1,390 **[1]**	
1% Investments	W1	40,000 **[2]**	
Investment interest due	W1	100 **[1]**	
Mart cheque due		4,200 **[1]**	696,540
Liabilities			
Electricity due		530 **[1]**	
Bank overdraft		3,650 **[1]**	
Loan	W2	25,000 **[2]**	
Loan Interest due	W2	1,000 **[2]**	(30,180)
Capital @ 01/01/2023			666,360 **[1]** **

** Accept correct figure only

(b) Enterprise Analysis Accounts of Mike Maguire for the year ended 31/12/2023 **20 MARKS**

			€ Cattle & Milk		€ Sheep
Income and Closing Stock					
Closing stock			26,000	**<[1]>**	15,000 ***
Sales:	Cattle	W4	17,920	**[1]**	
	Milk	W3	35,650	**[2]**	
	Sheep			**[1]**	13,750
	Lambs			**[1]**	8,910
Ewe premium				**[1]**	8,000
Beef premium			9,500	**[1]**	
Drawings			810	**<[2]>**	600
			89,880		46,260
Expenses and Opening Stock					
Opening Stock			19,500	**<[1]>**	17,600 ***
Purchases:	Cattle		13,600	**[1]**	
	Sheep			**[1]**	9,500
Dairy wages			8,200	**[1]**	
Fertiliser		W5	4,200	**<[2]>**	1,800
General farm expenses		W6	9,520	**<[2]>**	4,080
Veterinary fees and medicine		W7	3,654	**<[2]>**	1,566
			58,674		34,546
Gross Profit			**31,206**		**11,714**

*** May include Stock difference as one figure

<[1]> implies 1 mark in total for both, i.e. 1/2 mark each, etc.

<[2]> implies 2 marks in total, i.e. 1 mark each, etc.

(c) General Profit and Loss Account for year ended 31/12/2023 **14 MARKS**

			€	€
Income:				
Gross Profit:	Cattle and milk		31,206	
	Sheep		11,714	
Investment interest		W1	400 **[1]**	
Forestry premium			6,000 **[1]**	
BPS annual grant			15,000 **[1]**	
Total income				64,320
Expenses:				
Light, heat and fuel		W8	3,180 **[2]**	
Loan interest		W11	750 **[1]**	
Depreciation		W10	28,500 **[2]**	
Repairs		W9	2,400 **[2]**	
Bank charges		W12	120 **[2]**	
Public liability insurance		W13	5,500 **[2]**	
Total expenses				(40,450)
Net profit				23,870

Note: *Penalty of –2 marks applied if students enter Inheritance as Income.*

(d) Explain the difference between a Capital Receipt and a Revenue Receipt. Use example from Maguire's accounts. **6 MARKS**

A Capital receipt is money received on a once-off, non-recurring basis that is not from the normal trading activities of a business, eg. inheritance, loan. [2 +1]

A Revenue receipt is money received from the normal trading activities of a business e.g. sales, annual grant(s), investment interest. [2 + 1]

WORKINGS:

1 **Investment Interest** = 200. 6 mths to 31/03/2023 = 200
> 3/6, ie **100** due at 01/01/2023
> 12 months = 200 x 2
> P & L = 400
> due at 31/12/2023 = 300

1% Investments = 400 / 1% = **40,000**

2 **Loan + Interest** = 27,000
> 108% = 27,000
> Loan (100%) = 27,000 x 100/108 = **25,000**
Loan Interest due @ 01/01 = 2,000 x 8/16 = **1,000**

3 **Milk Sales** = 35,600 – 1,350 + 1400 = **35,650**

4 **Cattle Sales** = 19,500 – 4,200 + 2,620 **17,920**

5 **Fertiliser** = 5,950 + 1,390 + 450 – 1,790 = **6,000** 70% = 4,200
30% = 1,800

6 **General Farm Exps** **13,600** 70% = 9,520
30% = 4,080

7 **Veterinary fees and medicines** 7,200
– Health Insurance -1,980
5,220 70% = 3,654
30% = 1,566

8 **Light, heat and fuel** 4,750 + 650 – 530 – 630 = 4,240
– Drawings (25%) -1,060
3,180

9 **Repairs** 3,200
– Drawings (25%) -800
2,400

10 **Depreciation**
Tractors & machinery 180,000 x 12.5% = 22,500
Farm buildings 300,000 x 2% 6,000
28,500

11 **Loan Interest** = 1,000
– Drawings (25%) -250
750

12 **Bank Charges** 160
– Drawings (25%) -40
120

13 **Insurance** 6,600
– Prepaid 31/12 (2/12) -1,100
5,500

5. INTERPRETATION OF ACCOUNTS

(a) **50 MARKS**

(i) Cash sales if period of credit given to debtors is 2.5 months **10**

Drs days = $\frac{\text{Debtors x 12}}{\text{Credit sales (X)}}$ = 2.5 **[2]**

$\frac{27{,}000 \times 12}{X}$ = 2.5 **[2]**

2.5X = 324,000

X = 129,600 **[2]**

Cash sales = Total sales less credit sales **[2]**
= 1,350,000 – 129,600
= **€ 1,220,400** **[2]**

(ii) Return on shareholders' funds **10**

= $\frac{\text{Earnings x 100}}{\text{OSC + Reserves}}$ **[3]**

= $\frac{189{,}000 \times 100}{250{,}000 + 609{,}500}$ **[3]**

= 21.989 **[3]**
= **21.99%** **[1]**

(iii) Recovery of value of one ordinary share at present dividend payout **10**

Recovery period = $\frac{\text{Market Value}}{\text{DPS}}$ **[2]**

= $\frac{185}{21.2}$ **[2]** = 8.726

= **8.73 years** **[2]**

DPS $\frac{\text{Ordinary dividends}}{\text{No. Ordinary shares}}$ **[2]**

= $\frac{53{,}000}{250{,}000}$ = 0.212

= **21.2c** **[2]**

(iv) Interest cover = $\frac{\text{Operating Profit}}{\text{Interest}}$ **[2]** **8**

= $\frac{222{,}000}{24{,}000}$ **[2]**

= 9.25 **[2]**

= **9.25 times** **[2]**

(v) Rate of stock turnover **12**

Stock turnover = $\frac{\text{Cost of Sales}}{\text{Average Stock}}$ **[3]**

= $\frac{935{,}000}{1/2\ (47{,}000 + 39{,}000)}$ **[4]**

= $\frac{935{,}000}{43{,}000}$ **[3]**

= **21.74 times** **[2]**

Note: * Full marks awarded for correct answer even if no workings nor incorrect workings shown.
** Figures in brackets show breakdown of marks if final answer incorrect.

(b) Advise a friend on whether he/she should buy shares in Harman plc. **40 MARKS**

I have analysed Harman plc under the following headings:

Profitability **[8]**
The return on capital employed has improved from 14.3% in 2022 to 18.35% in 2023 **[1]**. The trend **[1]** is very satisfactory and 18.35% is well above the return from risk-free investments of around 1% **[1]** and is also above proposed lending rates of 8%. Any shareholders would be satisfied that the company is becoming even more efficient in its use of its resources **[1]**.

The return on equity funds has improved from 20.2% in 2022 to 21.99% in 2023 **[1]**. The trend is very satisfactory and 21.99% would appear to be an excellent return on the funds that the present shareholders have invested in the company **[1]**.

Earnings per share has improved from 46.4c in 2022 to 75.6c in 2023 **[1]**. The trend is positive and indicates that Harman plc's earning capacity **[1]** has improved substantially. An investor would be greatly encouraged with the performance of the company in 2023.

Dividend Policy **[5]**
The dividend cover has increased from 3.25 times in 2022 to 3.57 times in 2023 **[1]**. The management of Harman plc are retaining a greater portion of profits **[1]** and appear to be reinvesting in the company which would sound very optimistic for the long-term prospects of the firm **[1]**.

** and any one of:

** The dividend per share has increased from 14.28c in 2022 to 21.2c in 2023 **[1]**. This represents an increase of around 50% which would keep shareholders very happy **[1]**.

** The dividend yield has increased from 8.25% in 2022 to 11.46% in 2023 **[1]**. This is a significant increase and 11.46% is a very good return when compared to the return from risk-free investments of around 1% **[1]**. Any potential shareholder would be encouraged by this.

Liquidity **[5]**
The Quick ratio has improved from 0.8 : 1 in 2022 to 1.01 : 1 in 2023 **[1]**. The trend is encouraging and is just above the accepted standard of 1:1 **[1]** which would indicate that Harman plc should not have a liquidity problem **[1]**, i.e. it should be able to pay its ongoing debts.

Presently, for every €1 it owes on the short term it has €1.01 in liquid assets to repay the short-term debt **[1]**. An investor would be pleased with this as it would indicate that the company would also be able to continue to pay dividends to its shareholders **[1]**.

Gearing **[7]**

Capital gearing has improved from 44.6% in 2022 to 28.94% in 2023 **[1]**. The trend is satisfactory and as Harman plc is lowly geared it would be deemed a less-risky **[1]** investment with most of its long term finance coming from equity shareholders **[1]**. This would mean that a greater portion of its profits would be available to be paid out to shareholders in the form of dividends **[1]**. Shareholders (and potential shareholders) would be satisfied.

Interest cover has improved from 3.4 times in 2022 to 9.25 times in 2023 **[1]**. There is a very big improvement in the trend and the company appears to be making ample profits to cover the loan interest payments **[1]**. Shareholders would be satisfied with Harman plc as it should continue to have little difficulty in servicing its debts and therefore continuing to pay dividends **[1]**.

Note: Allow marks within commentary provided it is consistent with student's own figure(s)

Sector **[3]**

Harman plc is a company involved in the renewable energy industry **[1]**. Worldwide there is a very big emphasis on renewable energy, sustainability and protection of the environment.

In the short-term there may continue to be strong competition from companies involved in the more traditional forms of energy provision using fossil fuels such as coal, oil, etc. **[1]**

In the longer term awareness is continuing to grow about protecting the environment and the use of sustainable energy sources. The market for products using sustainable energy is going to grow and demand for its products will continue to rise. There should be great opportunities for Harman plc in the future. As Harman appear to be reinvesting profits into the long-term future of this company it should be well-resourced to progress going forward **[1]**. Also, many people/investors are now more inclined to invest in companies that are going to protect the environment.

Market Price/Value of shares **[3]**

The market value of the shares has risen from €1.73 per share in 2022 to €1.85 in 2023 **[1]** which is an upward trend **[1]**. This indicates a growing confidence by stock market investors in the long-term future of Harman plc **[1]**.

Investments **[3]**

Investments which cost the company €200,000 now have a market value of €240,000 **[1]**. Shareholders would be satisfied and have confidence in the management of the company with their investment decision-making **[1]** and use of resources **[1]**.

Intangible Assets **[3]**

Intangible assets are valued at €50,000 in the balance sheet **[1]**. Shareholders would always be interested to know what this figure actually represents **[1]**, i.e. goodwill or maybe a patent/design/ trademark which may have a transferable value **[1]**.

Conclusion/Recommendation **[3]**

All the figures would indicate that Harman plc is performing well and growing. It is very profitable, no real liquidity issues, lowly geared and is planning for the longer-term. Shareholders are being well-rewarded with high dividend returns and it still has a high dividend cover **[1]**. On this basis the current market price of the shares appears to be good value at €1.85 **[1]**.
My recommendation therefore is to buy the shares **[1]**.

*** *Other answers are also acceptable provided thay are supported with relevant information*
[ ] Breakdown of marks/figures given in brackets.
No marks awarded for paragraph on fixed assets/security/debenture.

WORKINGS		2023	2022
Gross Profit		415,000	
Operating Profit	415,000 – 193,000	222,000	
Earnings	198,000 – 9,000 [i.e. 150,000 x 6%]	189,000	
Ordinary Dividends	62,000 – 9,000	53,000	
No. Ordinary Shares		250,000	
ROCE	$\frac{222,000}{1,209,500}$ x 100%	18.35%	14.33%
Return on Equity		21.99%	20.2%
Quick Ratio	$\frac{78,000 – 39,000}{38,500}$	1.01 : 1	0.8 : 1
Capital Gearing	$\frac{350,000}{1,209,500}$ x 100%	28.94%	44.6%
Interest Cover		9.25 times	3.4 times
EPS	$\frac{189,000}{250,000}$	75.6c	46.4c
DPS		21.2c	14.28c
Dividend Cover	$\frac{189,000}{53,000}$	3.57 times	3.25 times
Dividend Yield	$\frac{21.2}{185}$ x 100	11.46%	8.25%

(c) Advise Harman plc which business if any should be purchased. 10 MARKS

PureAer
The return on capital employed in PureAer is 19%. This is greater than Airnu at 15.6% and also marginally higher than Harman plc at 18.35%. **[1]**
The current ratio of 1.95:1 is about ideal when compared to the accepted norm of 2:1 which, including stock figures, indicates that PureAer should be able to pay its ongoing debts. The quick ratio of 0.75:1 is relatively low when compared to the accepted norm of 1:1. and is also below that of Airnu and Harman plc.This would indicate a liquidity problem and that a lot of its working capital is tied up in stock. **[2]**

Airnu
The return on capital employed is 15.6%. This is below PureAer and also below Harman plc. **[1]**
The current ratio of 1.3:1 is a little low but the quick ratio is 1.2:1 which is above the accepted norm of 1:1. This would certainly indicate that Airnu is able to meet its debts as they fall due. **[2]** It also suggests that Airnu manages to keep its working capital tied up in stock to a minimum.
The issue for Harman plc is which is best to buy: a more profitable company or a more liquid company. **[1]**
The answer is dependant on Harman plc's own position. As it currently does not have a liquidity problem itself it would be advisable to buy a company that will help its profitability **[2]**. However, PureAer's profitability figure of 19% is only marginally greater than its own figure of 18.35% and it appears to have a liquidity issue. Airnu's profitability is less than that of Harman plc so there may be little point in buying this company.

My advice would be to purchase neither company on the basis of the figures presented.
One final matter to consider is that there may be a possibility of benefits of buying one or the other or both companies in order to eliminate competition and/or through synergy. **[1]**

Examiner's note: A student could still be awarded all 10 marks for choosing either provided he/she showed an understanding of what the figures meant.

6. CORRECTION OF ERRORS AND SUSPENSE ACCOUNT

(a) General Journal of John Fowler **50 MARKS**

		Dr (€)	CR (€)
(i)	Drawings	950 **[3]**	
	Debtors		1,050 **[3]**
	Discount allowed	100 **[3]**	
[1]	*Being correction of omission of private debt offset against a business debt.*		
(ii)	Purchases	3,834 **[3]**	
	Creditors: Executive Stationers Ltd.		234 **[3]**
	VAT	234 **[2]**	
	Suspense		3,834 **[2]**
[1]	*Being incorrect recording of goods purchased on credit which included VAT.*		
(iii)	Rent prepaid (Balance Sheet)	550 **[3]**	
	Rent (Profit & Loss)		550 **[3]**
[1]	*Being incorrect calculation of rent prepaid on a payment for an 18 month period.*		
(iv)	Debtors	6,000 **[2]**	
	Discount Allowed		300 **[2]**
	Bank		5,700 **[2]**
	Cash	1,500 **[2]**	
	Debtors		1,500 **[2]**
[1]	*Being correction of dishonoured cheque received from a debtor and subsequent payment of cash on account.*		
(v)	Creditors: N. Harvey	1,800 **[3]**	
	Equipment	3,500 **[3]**	
	Purchases	3,050 **[2]**	
	Suspense		8,350 **[2]**
[1]	*Being incorrect recording of equipment purchased on credit.*		

** If students have correct accounts and amounts but on incorrect sides allow one mark each.*

(b) **8 MARKS**

Suspense A/C

Original Difference **[2]**	12,184	Purchases/VAT (ii) **[3]**	3,834
		Crs/Equip/Purchases (v) **[3]**	8,350
	12,184		12,184

(c) Statement of correct Net Profit **12 MARKS**

		€	€
	Original Profit		31,670 **[1]**
	ADD:		
**	Rent (iii)	550 **[2]**	
**	Discount allowed (iv)	300 **[2]**	850
			32,520
	LESS:		
	Discount allowed (i)	100 **[2]**	
**	Purchases (ii)	3,834 **[2]**	
**	Purchases (v)	3,050 **[2]**	(6,984)
	Corrected net profit	Accept correct figure only	25,536 **[1]**

** Allow marks for student's own figure if consistent with journal entries.
** If entries completely wrong but transferred correctly from journal award one mark for each entry.

(d) Balance Sheet as at 31/12/2023 **22 MARKS**

		€	€	€
Fixed assets		**Cost**	**Dep. To date**	**Net book value**
Premises		565,000	(85,000)	480,000 **[1]**
Equipment (+3,500) **		113,500	(36,000)	77,500 **[2]**
Motor vehicles		44,000	(16,000)	28,000 **[1]**
		722,500	137,000	585,500
Current assets				
Stock		55,290 **[1]**		
Debtors	(–12,184 – 1,050 + 6,000 –1,500) **	69,766 **[2]**		
Expenses prepaid (+550)		1,200 **[2]**		
Cash	(+1,500)	1,990 **[2]**	128,246	
Creditors: (amounts falling due within 1 year)				
Creditors	(+234 – 1,800) **	39,664 **[2]**		
Bank	(+5,700) **	9,550 **[2]**		
VAT	(–234) **	6,726 **[2]**	(55,940)	
Net current Assets				72,306
Total assets less current liabilities				657,806
Financed By:				
Creditors (amounts falling due after more than one year)				
Mortgage				75,000 **[1]**
Capital account				
Capital			582,840 **[1]**	
Net Profit		***	25,536 **[1]**	
			608,376	
Less Drawings **	(+950)		(25,570) **[2]**	582,806
				657,806

** Allow full marks to students' own figures from journal if used consistently.
*** Accept student's own figure for Net Profit

(e) Outline 2 types of error not revealed by a Trial Balance [any 2 for 2+2 marks] **8 MARKS**

Error of Omission, i.e. transaction has been completely omitted from the books.

Reversal of Entries, e.g. Goods purchased on credit from a creditor entered on debit side of creditors

Error of Principle, i.e. where an item is posted to the correct side of an incorrect class of account.
e.g. buying a fixed asset is entered in the Purchases a/c instead of the Fixed Asset a/c.

Error of Original Entry, i.e. errors in the books of first entry carried through to the ledger accounts.

Error of Commission, i.e. when the correct amount is posted to the correct side of an incorrect account.

Compensating Errors, i.e. refers to two errors that cancel each other out.

WORKINGS

(i)

Drawings A/C

S/B	950		

Debtors A/C

		S/B	1,050

Discount Allowed A/C

S/B	100		

(ii)

Purchases A/C

S/B	1,800	X	2,034
	3,834		

Creditors A/C

		X	1,800
		S/B	2,034
			234

VAT A/C

S/B	234		

(iii)

Bank A/C

		Rent Ok	3,600

Rent A/C

Bank Ok	3,600	Rent P/P X	650
		S/B	1,200
			550

Rent Prepaid A/C

Rent X	650		
S/B	1,200		
	550		

(iv)

Bank A/C

X	5,700	S/B	5,700

Debtors A/C

S/B	6,000	X	6,000
			1,500

Discount Allowed A/C

X	300	S/B	300

(v)

Cash A/C

	1,500		

(v)

Creditors A/C

	1,800	X	5,300
		S/B	3,500

Equipment A/C

S/B	3,500		

Purchases A/C

	3,050	X	3,050

7. CASH FLOW STATEMENT

(a) Abridged Profit & Loss Account for the year ended 31/12/2023 **20 MARKS**

	€
Operating Profit	**205,410 [3]** (correct figure only)
Interest payable	(25,200) **[5]**
Profit before tax	**180,210**
Tax payable	(23,450) **[4]**
Profit after tax	**156,760**
Dividends paid	(32,000) **[4]**
Retained profit for the year	**124,760**
Retained profit on 01/01/2023	91,640 **[2]**
Retained profit on 31/12/2023	**216,400 [2]**

(b) Reconciliation of operating profit to net cash flow from operating activities **25 MARKS**

	€
Operating Profit	205,410 **[1]** (own figure)
Depreciation charge for the year	45,000 **[3]**
Less Profit on sale of fixed assets	(14,000) **[3]**
Amortisation of patent	10,000 **[3]**
Increase in bad debt provision	450 **[4]**
Less Increase in stock	(17,600) **[3]**
Less Increase in debtors	(15,000) **[3]**
Less Decrease in creditors	(4,880) **[3]**
Net Cash inflow from Operating Activities	209,380 **[2]**

Cash Flow Statement of Korda Plc. for the year ended 31/12/2023 **41 MARKS**

		€	€
Operating Activities			
Net Cash inflow from Operating Activities			209,380 **[2]** (own figure)
Returns on Investment and Servicing of Finance	**[1]**		
Interest Paid		(25,660) **[3]**	(25,660)
Taxation	**[1]**		
Tax Paid		(29,440) **[3]**	(29,440)
Capital Expenditure and Financial Investment	**[1]**		
Payments to Acquire Fixed Assets		(155,000) **[5]**	
Receipts from Sale of Machinery		35,000 **[4]**	
Proceeds from Sale of Investments		20,000 **[3]**	(100,000)
Equity Dividends Paid	**[1]**		
Equity Dividends Paid		(32,000) **[2]**	(32,000)
Net Cash Inflow before Management of Liquid Resources and Financing			**22,280**
Management of Liquid Resources	**[1]**		
Purchase of Government Securities		(30,000) **[3]**	(30,000)
Financing	**[1]**		
Repayment of Debenture		(70,000) **[3]**	
Receipts from Issue of Ordinary Shares		50,000 **[3]**	
Receipt of Share Premium		10,000 **[3]**	(10,000)
Decrease in Cash	**[1]**		**(17,720) *****

***	Change in Cash Position	2022	2023
	Cash	840	720
	Bank	7,450	(10,150)
		8,290	(9,430)
		-17,720 ***	

Reconciliation of Net Cash Flow to movement in Net Debt **[4]**

	€
Decrease in cash/bank	(17,720)
Repayment of debenture	70,000 **[1]**
Purchase of government securities	30,000 **[1]**
Change in net debt	82,280
Net debt 01/01/2023	(326,710) ** **[1]**
Net debt 31/12/2023	**(244,430) ** [1]**

Net debt **	**01/01/2023**	**31/12/2023**
Cash/bank	8,290	(9,430)
Debentures	(350,000)	(280,000)
Government securities	15,000	45,000
	(326,710)	(244,430)

(c) (i) Reason why Korda plc would amortise the patent [any 1 point for 4 marks] **[4]** **10 MARKS**

> It is considered best practice in accounting to depreciate (amortize) an asset over its useful economic life. A patent loses value over time due to competition, expiration date and technological advances.

> Amortization of a patent is an allowable expense for a company and therefore it would reduce the corporate tax burden of Korda plc.

> It conforms to one of the key principles of accounting – Prudence. There is less risk of overvaluing assets and therefore the balance sheet of a business like Korda plc.

(ii) Change in the liquidity position of Korda Plc from 2022 to 2023 **[6]**

	2022	**2023**	
Current Ratio			
Current Assets / C Liabilities	150,840 / 83,200	205,420 / 82,020	
	= 1.81 : 1	**= 2.50 : 1**	**[1]**
Acid Test Ratio			
C Assets – Stock / C Liabilities	150,840 – 59,650 / 83,200	205,420 – 77,250 / 82,020	
	= 1.1 : 1	**= 1.56 : 1**	**[1]**

The Current ratio has improved from 1.81:1 in 2022 to 2.50:1 in 2023. This is well-above the accepted standard of 2:1 **[1]**

The Acid test has also improved from 1.1:1 in 2022 to 1.56:1 in 2023. This is also well-above the accepted standard of 1:1. **[1]**

Both of the above figures demonstrate that Korda plc's liquidity position has improved from 2022 to 2023. This indicates that is has sufficient funds to meet its day-to-day obligations and should be able to pay all its short-term debts as they fall due. **[2]**

WORKINGS

Taxation A/C

Bank	29,440	b/d	29,440
c/d	23,450	P & L *	23,450
	52,890		52,890

Interest A/C

Bank *	25,660	b/d	9,210
c/d	8,750	P & L ***	25,200
	34,410		34,410

*** 350,000 x 8% x 6/12 = 14,000
280,000 x 8% x 6/12 = 11,200
25,200

Land & Buildings A/C

b/d	495,000		
Revaluation Res	45,000		
Bank - extension ***	70,000	c/d	610,000
	610,000		610,000

Provision for Depreciation A/C

		b/d	53,000
c/d	70,000	P & L	**17,000**
	70,000		70,000

Revaluation Reserve A/C

		b/d	0
c/d	45,000	Land	**45,000**
	45,000		45,000

Plant & Machinery A/C

b/d	210,000	Disposal	60,000
Bank	85,000	c/d	235,000
	295,000		295,000

Provision for Depreciation A/C

Disposal	**39,000**	b/d	73,000
c/d	62,000	P & L *	**28,000** [45,000 – 17,000]
	101,000		101,000

Disposal A/C

Machinery	60,000	Depreciation	39,000
Profit to P & L	**14,000**	Bank	35,000
	74,000		74,000

Bad Debt Provision

2022: 67,900 x 100/97 =	70,000	Drs	Provision =	2,100
2023: 82,450 x 100/97 =	85,000	Drs	Provision =	2,550
			Increase	**450**

8. OVERHEAD APPORTIONMENT/JOB COSTING

(a) Overhead Analysis Sheet **24 MARKS**

Overhead		Basis of Apportionment	Total (€)	Production Depts Assembly	***	Finishing	Service Depts Finance	***	HR
Indirect Labour		Given	18,900	15,120		3,780			
Materials handling costs		Given	9,900	5,500		4,400			
Factory cleaning	**[1]**	Floor space	12,500	6,250	**<[1]>**	3,125	1,875	**<[1]>**	1,250
Machine maintenance	**[1]**	Machine hours	21,600	12,960	**<[1]>**	8,640			
Factory light and heat	**[1]**	Volume	36,000	18,000	**<[1]>**	12,000	3,600	**<[1]>**	2,400
Depreciation on machinery	**[1]**	Machinery valuation	25,000	18,750	**<[1]>**	6,250			
Factory buildings insurance	**[1]**	Floor space	2,700	1,350	**<[1]>**	675	405	**<[1]>**	270
Factory canteen	**[1]**	No. employees	14,850	8,250	**<[1]>**	3,300	1,650	**<[1]>**	1,650
Rent and rates	**[1]**	Floor space	12,600	6,300	**<[1]>**	3,150	1,890	**<[1]>**	1,260
Supervisors' salaries	**[½]**	No. employees	50,850	28,250	**<[1]>**	11,300	5,650	**<[1]>**	5,650
Administration costs	**[½]**	No. employees	9,675	5,375	**<[1]>**	2,150	1,075	**<[1]>**	1,075
			214,575	126,105		58,770	16,145		13,555
(b) Reapportion Fin. *****		Labour hours		12,916 **[2]**		3,229 **[2]**	-16,145		**12 MARKS**
Reapportion HR *****		Labour hours		10,844 **[2]**		2,711 **[2]**			-13,555
			214,575	149,865 **[2]**		64,710 **[2]**	0		0

***** Allow marks for student's own figures if consistent with previous work.
*** <[1]> means ½ mark for each of the two figures.

(c) Overhead Absorption Rate * own figure from part (a) acceptable **10 MARKS**

1) Assembly Dept.

$$\frac{\text{Total overheads}}{\text{Labour hours}} = \frac{\overset{[2]}{149{,}865}}{60{,}000} = \overset{[2]}{2.49775}$$

= **€2.50 per labour hour [1]** **[5]**

2) Finishing Dept.

$$\frac{\text{Total overheads}}{\text{Machine hours}} = \frac{\overset{[2]}{64{,}710}}{20{,}000} = \overset{[2]}{3.2355}$$

= **€3.24 per machine hour [1]** **[5]**

(d) Selling Price of Job no. AB6710 **22 MARKS**

Direct Costs		**€**	**€**	**€**	
Direct materials:	Assembly **[2]**	4,500			
	Finishing **[2]**	3,200	7,700		
Direct labour	Assembly **[2]**	3,600			
	Finishing **[2]**	4,350	7,950		
	Prime cost			15,650.00	
Overheads:					
Assembly Dept: 320 hrs x 2.50			800.00		**[4]**
Finishing Dept: 350 hrs x 3.24			1,134.00		**[4]**
				1,934.00	
	Total cost of production			17,584.00	
	** Profit @ 30% of selling price			7,536.00	**[4]**
	Selling price			**25,120.00** *	**[2]**

** 17,584 x 30/70 = 7,536
* Correct figure only.

(e) Under/over absorption of overheads **12 MARKS**

			€	€	
	Actual overheads			160,000	**[2]**
	Absorbed overheads				
Assembly	42,500 x 2.50	**[2]**	106,250		
Finishing	19,100 x 3.24	**[2]**	61,884	-168,134	
	Over-absorbed			**-8,134**	**[2]**

Effect on Net Profit:
If overheads are over-absorbed this means that the actual net profit figure will be greater than the budgeted figure **[1]** as the actual cost of overheads were less than expected **[1]**.
In this case the actual profit that Wyndham Ltd will make will be €8,134 greater than expected **[2]**.

9. BUDGETING

(a) Production Budget **11 MARKS**

	Jan	Feb	Mar	April	May
Sales	250 **[1]**	300 **[1]**	320 **[1]**	360 **[1]**	400
+ Closing Stock	225 **[1]**	240 **[1]**	270 **[1]**	300 **[1]**	330
	475	540	590	660	730
- Opening Stock	0	(225) **[1]**	(240) **[1]**	(270) **[1]**	(300)
Production units	475	315	350	390	430

(b) Raw Materials Purchases Budget **13 MARKS**

	Jan	Feb	Mar	April	May
Production units	475 **[½]**	315 **[½]**	350 **[½]**	390 **[½]**	430
Materials (kg) per unit	x 10 **[½]**	x 10	x 10	x 10	x 10
Total kgs req'd for Prod	4,750 **[½]**	3,150 **[½]**	3,500 **[½]**	3,900 **[½]**	4,300
+ Closing Stock	630 **[½]**	700 **[½]**	780 **[½]**	860 **[1]**	
	5,380	3,850	4,280	4,760	
– Opening Stock	0	(630) **[½]**	(700) **[½]**	(780) **[½]**	
Req'd Purchases (**kgs**)	**5,380 [½]**	**3,220 [½]**	**3,580 [½]**	**3,980 [½]**	
Price per kg (**€**)	18.00 **[½]**	18.00	18.00	18.00	**Total**
Total Purchases (**€**)	**96,840 [½]**	**57,960 [½]**	**64,440 [½]**	**71,640 [½]**	**€290,880**

(c) Cash Budget - January to April **35 MARKS**

		Jan	Feb	Mar	April	Total
Receipts						
Sales	Cash (Mo: 0.19)	19,000 **[1]**	22,800 **[1]**	24,320 **[1]**	27,360 **[1]**	**93,480**
	Debtors (M1: 0.4)	0	40,000 **[1]**	48,000 **[1]**	51,200 **[1]**	**139,200**
	Debtors (M2: 0.4)	0	0	40,000 **[1]**	48,000 **[1]**	**88,000**
	* Bank Loan	0	35,000 **[1]**	0	0	**35,000**
		19,000	97,800	112,320	126,560	**355,680**
Payments						
	Purchases	0	96,840 **[1]**	57,960 **[1]**	64,440 **[1]**	**219,240**
	Wages	0	25,000 **[1]**	25,000 **[1]**	25,000 **[1]**	**75,000**
	Variable overheads	4,750 **[1]**	3,150 **[1]**	3,500 **[1]**	3,900 **[1]**	**15,300**
	** Fixed overheads	7,500 **[1]**	7,500 **[1]**	7,500 **[1]**	7,500 **[1]**	**30,000**
	Equipment			42,000 **[1]**	0	**42,000**
	*** Interest	0	175 **[1]**	175 **[1]**	175 **[1]**	**525**
		12,250	132,665	136,135	101,015	**382,065**
	Net Cash	6,750 **[1]**	(34,865) **[1]**	(23,815) **[1]**	25,545 **[1]**	**(26,385)**
	** Loan can also be shown here*					
	Opening Cash	0	6,750	(28,115)	(51,930)	0
	Closing Cash	6,750	(28,115)	(51,930)	(26,385) **[3]**	**(26,385)**

** **Equipment cost 42,000 in March.**
Depreciation per annum = 42,000 / 7 = 6,000
Depreciation per month = 6,000 / 12 = 500
Overheads = 8,000 – 500 = 7,500

*** **Loan interest**
35,000 x 6% = 2,100 per annum
= 175 per month

(d) Budgeted Profit and Loss Account for the 4 months ended 30/4/2025 **14 MARKS**

				€	€	€
	Sales					492,000 **[1]**
Less:	**Cost of Sales**					
	Opening Stock				0	
	+ Purchases*				290,880 **[1]**	
					290,880	
	– Closing Stock – Finished Goods	[300 x 25]	7,500 **[1]**			
	Raw Materials *	[860 x 18]	15,480 **[1]**		(22,980)	(267,900)
	Gross Profit					**224,100**
Less:	**Expenses**					
	Wages *				100,000 **[2]**	
	Variable O/H *				15,300 **[1]**	
	Fixed O/H *				30,000 **[1]**	
	Depreciation – Equipment *				2,000 **[1]**	
	Discount Allowed ****				4,920 **[2]**	(152,220)
	Operating Profit					**71,880**
	Interest **					(525) **[1]**
	Net Profit					**71,355 [2] *** **
						correct figure only ***

** *Interest does not have to be shown as a separate expense in management accounts*

**** *Discount allowed = 492,000 x 20% x 5% = 4,920*

** Full marks also awarded to students who prepared a Manufacturing A/C and transferred the Cost of Production to the trading.*

*** Budgeted Manufacturing A/C for 4 months ended 30/04/2025**

Direct Costs		€	€
Raw Materials	Opening Stock	0	
	+ Purchases	290,880 *	
		290,880	
	– Closing Stock	(15,480) *	275,400
Wages			100,000
Prime Cost			375,400
Indirect Costs			
Variable O/H		15,300 *	
Fixed O/H		30,000 *	
Depreciation - equipment		2,000 *	47,300
Cost of Production			**422,700**

(e) Advice for Daly Ltd. [point 1 and any two from 2,3,4,5] * **7 MARKS**

1 The expected cash deficit figure(s) of €28,115 in February, €51,930 in March and €26,385 in April should signal serious cash flow problems to the finance department. If these budget deficits are not adjusted to become a more reasonable figure a bank will not lend nor provide an overdraft facility as it will be seen as being too risky. Likewise suppliers will be reluctant to provide one month's credit to Daly Ltd. The company is overtrading. **[3]**

2 At the end of the first 4 months Daly Ltd. is expecting to be making a profit of €71,355 while having a cash deficit of €26,385. This is further confirmation that the company is overtrading. If that is the case it may not be able to pay its own suppliers on time which means that it could have difficulty sourcing raw materials on credit into the future. **[2]***

3 Daly Ltd. needs to start getting payments in from debtors more quickly. To do this it may need offer cash discounts for prompt payment or change the trading terms to a maximum of one month's credit only. **[2]***

4 It needs to implement stricter credit controls. If some of the debtors go bankrupt and/or are unable to pay it could have serious consequences for the company. **[2]***

5 As a short-term measure Daly Ltd. should consider negotiating a bank overdraft to help tie it over what looks like a temporary cash flow problem. To convince a bank manger in these circumstances it would need a comprehensive business plan. **[2]***